PRA Glossary - B

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bank

The changes to this defined term are effective from 23:00 on 31/12/2020.means afirmwith aPart 4A permissionto carry on theregulated activityofaccepting depositsand is acredit institution, but is not acredit union,friendly societyor abuilding society.

Bank of England

This term is defined externally, please refer to:Schedule 1 Interpretation Act 1978

banking and investment services conglomerate

means afinancial conglomeratethat is identified in paragraph 3.1 ofAnnex 2(Capital Adequacy Calculations for Financial Conglomerates) of theFinancial Conglomeratespart of thePRARulebook as a 'banking and investment services conglomerate'.

basic own funds

(in theSolvency II FirmsSector of thePRARulebook):(1) (in relation to aUK Solvency II firmand Lloyd's), has the meaning given inOwn Funds 2.2; or(2) (in relation to aninsurance holding company) means anown fundsitem referred to inOwn Funds 2.2, determined in accordance with (1) as if it were aUK Solvency II firm.(3) [deleted][Note: Art. 88 of theSolvency II Directive]

basic relevant risk-free interest rate term structure

means therelevant risk-free interest rate term structurewithout:(1) amatching adjustment;(2) avolatility adjustment; or(3) arisk-free interest rate transitional measure.

basic SCR

means the component of theSCR, calculated in accordance withSolvency Capital Requirement - Standard Formula 3.

benchmarking activities

means the following activities:(1) theregulated activityofadministering a benchmark; or(2)contribution of input datato aBMR benchmark administrator.

benchmarks regulation

means Regulation (EU) No. 2016/1011 of the European Parliament and of the Council of 8 June 2016 on indices used as benchmarks in financial instruments and financial contracts or to measure the performance of investment funds and amending Directives 2008/48/EC and 2014/17/EU and Regulation (EU) No 596/2014.

beneficiary

means anypersonwho is entitled to a right under acontract of insurance.[Note: Recital 16 of theSolvency II Directive]

best estimate

means the best estimate of future cash-flows, calculated in accordance withTechnical Provisions 3.

BFSA

means the Agreement between the United Kingdom of Great Britain and Northern Ireland and the Swiss Confederation on Mutual Recognition in Financial Services concluded on 21st December 2023 at Berne, also known as the Berne Financial Services Agreement.

BMR benchmark administrator

means apersonwho:(1) is an administrator within the meaning of article 3.1(6) of thebenchmarks regulation; and(2) has been authorised or registered (whether in theUKor elsewhere) in accordance with article 34 of thebenchmarks regulation.

body corporate

means any body corporate including a body corporate constituted under the law of a country or territory outside theUK.

branch

The changes to this defined term are effective from 23:00 on 31/12/2020.means(1) (in relation to acredit institution) a place of business which forms a legally dependent part of acredit institutionand which carries out directly all or some of the transactions inherent in the business ofcredit institutions.(2) (in relation to aninvestment firm) a place of business which:(a) is not thefirm'shead office;(b) is part of thefirm;(c) has no legal personality; and(d) providesinvestment services and/or activities; and(e) may also performancillary servicesfor which theinvestment firmhaspermissionunder Part 4A ofFSMA.(3) (in relation to aninsurance undertaking) any permanent presence of theinsurance undertakingin theUKwhich:(a) is managed by theinsurance undertaking'sown staff; or(b) is an agency of theinsurance undertaking; or(c) is managed by apersonwho is independent of theinsurance undertaking, but has permanent authority to act for theinsurance undertakingas an agency would.(4) (in relation to anIDD insurance intermediary) a place of business which is a part of anIDD insurance intermediary,not being the principal place of business, which has no separate legal personality and which providesinsurance distributionfor which theIDD insurance intermediaryhas been registered.(5) (in relation to anIDD reinsurance intermediary) a place of business which is a part of anIDD reinsurance intermediary, not being the principal place of business, which has no separate legal personality and which providesreinsurance distributionfor which theIDD reinsurance intermediaryhas been registered.

branch best estimate

means the best estimate of future cashflows of the insurance andreinsuranceobligations assumed by athird country branch undertakingin theUK, calculated in accordance withThird Country Branches 6.1Aand6.1D.

brought forward amount

means an amount, as defined inInsurance Company - Capital Resources Requirements 10.1to10.3in theNon-Solvency II FirmsSector, used in the calculation of thegeneral insurance capital requirement.

BRRD

means Directive 2014/59/EU of the European Parliament and the Council of 15 May 2014 establishing a framework for the recovery and resolution of credit institutions and investment firms and amending Council Directive 82/891/EEC and Directives 2001/24/EC, 2002/47/EC, 2004/25/EC, 2005/56/EC, 2007/36/EC, 2011/35/EU, 2012/30/EU and 2013/36/EU , and Regulations (EU) No 1093/2010 and (EU) No 648/2012 of the European Parliament and of the Council.

BRRD undertaking

means aCRR firmor aqualifying parent undertakingof aCRR firm.

building society

has the meaning given in section 119 of the Building Societies Act 1986.

business day

means:(1) (in relation to anything done or to be done in (including to be submitted to a place in) any part of theUK) any day which is not a Saturday or Sunday, Christmas Day, Good Friday or a bank holiday in that part of theUK;(2) (in relation to anything done or to be done by reference to a market outside theUK) any day on which that market is normally open for business.

byelaw

means any byelaw, direction, regulation, or other instrument made using the powers of theCouncilunder section 6 of Lloyd's Act 1982 (including any regulation ratified by theCouncilby special resolution) and any condition or requirement made under any such byelaw, direction, regulation or other instrument.